

D775

Introduction to Business Finance

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A publicly traded clothing brand with a popular mascot can either (A) cut its product-safety testing to boost this year's profit by 10%, or (B) keep testing, earning steady profit with far lower risk of costly recalls. Its CFO joined last year from a bank. Which choice best fits the goal of financial management?

- A. Whichever the CFO prefers from banking experience.
- B. A, because a 10% profit gain always raises the share price.
- C. A, because the goal is to maximize this year's profit.
- D. B, because it better protects the long-run value of the owners' shares.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A regional distributor with a fleet of 40 trucks has current assets of \$450,000, current liabilities of \$300,000, and long-term debt of \$900,000. What is its current ratio?

- A. 0.38
- B. 1.5
- C. \$150,000
- D. 0.67

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A company has a current ratio of 2.0 and current liabilities of \$120,000. What are its current assets?

- A. \$240,000
- B. \$122,000
- C. \$120,000
- D. \$60,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A software firm that recently moved to a larger office earned net income of \$90,000. It has total assets of \$1,200,000 and shareholders' equity of \$600,000. What is its return on equity?

- A. 667%
- B. 50%
- C. 15%
- D. 7.5%

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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5.

A small business owner who banks with a local credit union deposits \$10,000 at 6% interest compounded annually. She also has a car loan at 4%. What will the deposit be worth in 3 years?

- A. \$10,600.00
- B. \$8,396.19
- C. \$11,800.00
- D. \$11,910.16

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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6. [TRANSFER — reversed stem / different variable]

At 8% compounded annually, about how long does it take an investment to double?

- A. About 9 years
- B. About 0.11 years
- C. 8 years
- D. 12.5 years

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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7.

A hospital's foundation, which runs an annual gala, will receive a \$50,000 gift in 4 years. Its board uses a 5% discount rate. What is the gift worth today?

- A. \$40,000.00
- B. \$47,619.05
- C. \$41,135.12
- D. \$60,775.31

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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8.

A bakery chain known for its sourdough can buy a \$100,000 oven that will save \$30,000 a year for 4 years. Its required return is 8%. The oven comes in stainless steel or black. Should it buy the oven based on NPV?

- A. Yes; NPV is +\$20,000.
- B. Yes; it returns \$120,000 on a \$100,000 cost.
- C. Yes; any positive cash flow means accept.
- D. No; NPV is about -\$636, so it does not earn the 8% required return.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

9. [TRANSFER — reversed stem / different variable]

A project has an NPV of +\$4,000 at a 10% cost of capital. What must be true about its internal rate of return (IRR)?

- A. IRR equals 10%.
- B. IRR is less than 10%.
- C. IRR is greater than 10%.
- D. IRR is 4%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

10.

A printing company with a well-known logo invests \$60,000 in a machine that returns \$20,000, \$25,000, \$15,000, and \$40,000 in years 1 through 4. The machine was made in Germany. What is the payback period?

- A. 4 years
- B. 3 years
- C. 2.4 years
- D. 1.5 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

11. [TRANSFER — reversed stem / different variable]

Project X pays back in 2 years and then produces nothing. Project Y pays back in 3 years and then produces large cash flows for 10 more years. Why can payback point to the wrong choice?

- A.** The shortest payback is always the best project.
- B.** Payback ignores cash flows after the payback point and the time value of money.
- C.** Payback discounts cash flows too heavily.
- D.** Payback uses accounting profit instead of cash.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

An investor who reads financial news every morning holds 60 stocks across many industries. A recession causes nearly all of them to fall. Her broker is based in Chicago. What does this show?

- A.** Diversification removes firm-specific risk but not market-wide (systematic) risk.
- B.** She was not diversified enough; 100 stocks would remove all risk.
- C.** Her broker's location raised her risk.
- D.** Diversification increases risk.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A publicly traded clothing brand ~~with a popular mascot~~ can either (A) cut its product-safety testing to boost this year's profit by 10%, or (B) keep testing, earning steady profit with far lower risk of costly recalls. ~~Its CFO joined last year from a bank.~~ Which choice best fits the goal of financial management?

Target word: goal of the firm **Decides:** Shareholder wealth reflects risk and long-run cash flows.

A	Camouflage	The CFO's background does not define the goal.
B	Absolute language	Added risk can lower value even as profit rises.
C	Adjacent category	Profit maximization ignores risk and timing.
D	Correct	Wealth maximization weighs risk and timing, not only this year's profit.

2. Answer B Concept 2

A regional distributor ~~with a fleet of 40 trucks~~ has current assets of \$450,000, current liabilities of \$300,000, and long-term debt of \$900,000. What is its current ratio?

Target word: current ratio **Decides:** CA / CL.

A	Wrong stem number	Adds long-term debt to current liabilities (\$450,000 / \$1,200,000).
B	Correct	$\$450,000 / \$300,000 = 1.5$.
C	Adjacent category	That is working capital, a dollar amount, not the ratio.
D	Inverted operation	Divides liabilities by assets.

3. Answer A Concept 2 · transfer

A company has a current ratio of 2.0 and current liabilities of \$120,000. What are its current assets?

Target word: solve for current assets **Decides:** CA = ratio × CL.

A	Correct	$2.0 \times \$120,000 = \$240,000$.
B	Confusion set	Adds the ratio as if it were a dollar amount.
C	Wrong stem number	The current liabilities figure.
D	Inverted operation	Divides by the ratio.

4. Answer C Concept 3

A software firm ~~that recently moved to a larger office~~ earned net income of \$90,000. It has total assets of \$1,200,000 and shareholders' equity of \$600,000. What is its return on equity?

Target word: ROE **Decides:** NI / equity.

A	Inverted operation	Divides equity by net income.
B	Adjacent category	Equity / assets, a capital-structure ratio, not a return.
C	Correct	$\$90,000 / \$600,000 = 15\%$.
D	Confusion set	That is ROA, using total assets.

5. Answer D Concept 4

A small business owner ~~who banks with a local credit union~~ deposits \$10,000 at 6% interest compounded annually. ~~She also has a car loan at 4%.~~ What will the deposit be worth in 3 years?

Target word: future value **Decides:** Compound: $10,000 \times 1.06^3$.

A	Wrong stem number	Only one year of interest.
B	Inverted operation	Discounts instead of compounds.
C	Dropped element	Simple interest; leaves out interest on interest.
D	Correct	$\$10,000 \times 1.191016 = \$11,910.16$.

6. Answer A Concept 4 • transfer

At 8% compounded annually, about how long does it take an investment to double?

Target word: solve for time **Decides:** Rule of 72: $72 / 8$.

A	Correct	$72 / 8 \approx 9$; exact is about 9.0 years.
B	Inverted operation	$8 / 72$ flips the rule.
C	Wrong stem number	Reuses the rate as the answer.
D	Dropped element	$100 / 8$ uses simple interest, ignoring compounding.

7. Answer C Concept 5

A hospital's foundation, ~~which runs an annual gala,~~ will receive a \$50,000 gift in 4 years. Its board uses a 5% discount rate. What is the gift worth today?

Target word: present value **Decides:** $50,000 / 1.05^4$.

A	Dropped element	Simple discount of 20%; leaves out compounding.
B	Wrong stem number	Discounts for only one year.
C	Correct	$\$50,000 / 1.21551 = \$41,135.12$.
D	Inverted operation	Compounds forward instead of discounting.

8. Answer D Concept 6

A bakery chain ~~known for its sourdough~~ can buy a \$100,000 oven that will save \$30,000 a year for 4 years. Its required return is 8%. ~~The oven comes in stainless steel or black.~~ Should it buy the oven based on NPV?

Target word: accept/reject by NPV **Decides:** PV of inflows $\approx \$99,364 < \$100,000$.

A	Inverted operation	Undiscounted total minus cost, treated as NPV.
B	Dropped element	Ignores discounting.
C	Absolute language	Cash flows must exceed cost in present value.
D	Correct	$\$30,000 \times 3.3121 = \$99,364$; minus $\$100,000 = -\636 .

9. Answer C Concept 6 • transfer

A project has an NPV of +\$4,000 at a 10% cost of capital. What must be true about its internal rate of return (IRR)?

Target word: NPV-IRR link **Decides:** Positive NPV at r means $IRR > r$.

A	Confusion set	NPV would be zero.
B	Inverted operation	Would make NPV negative at 10%.
C	Correct	The rate that makes NPV zero must be higher than 10%.
D	Wrong stem number	Mistakes the NPV dollars for a rate.

10. Answer B Concept 7

A printing company ~~with a well-known logo~~ invests \$60,000 in a machine that returns \$20,000, \$25,000, \$15,000, and \$40,000 in years 1 through 4. ~~The machine was made in Germany.~~ What is the payback period?

Target word: payback **Decides:** Cumulative: 20, 45, 60 by year 3.

A	Dropped element	Counts all years instead of stopping at recovery.
B	Correct	$\$20,000 + \$25,000 + \$15,000 = \$60,000$ at the end of year 3.
C	Confusion set	$\$60,000 / \text{average } \$25,000$ ignores the uneven timing.
D	Wrong stem number	$\$60,000 / \$40,000$ uses only the year-4 cash flow.

11. Answer B Concept 7 • transfer

Project X pays back in 2 years and then produces nothing. Project Y pays back in 3 years and then produces large cash flows for 10 more years. Why can payback point to the wrong choice?

Target word: limitation of payback **Decides:** Ignores cash after payback and time value.

A	Absolute language	Speed of recovery is not value.
B	Correct	Y may add far more value despite a longer payback.
C	Inverted operation	Simple payback does not discount at all.
D	Confusion set	That is the flaw of accounting rate of return, not payback.

12. Answer A Concept 8

An investor ~~who reads financial news every morning~~ holds 60 stocks across many industries. A recession causes nearly all of them to fall. ~~Her broker is based in Chicago.~~ What does this show?

Target word: what diversification removes **Decides:** Market-wide risk remains.

A	Correct	A recession hits nearly all stocks together.
B	Absolute language	No number of stocks removes market risk.
C	Camouflage	Irrelevant to market risk.
D	Inverted operation	It lowers total risk by removing firm-specific risk.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	7	
Adjacent category	The right idea in the wrong bucket.	3	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	5	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	The goal: maximize shareholder wealth	Financial managers aim to maximize the value of the owners' stake, which accounts for the timing and risk of cash flows, not just this year's accounting profit.	Equating the goal with maximizing current-year profit or sales.	A choice that raises short-term profit but adds risk or delays cash.
2	Liquidity: the current ratio	Current ratio = current assets / current liabilities; it measures the ability to pay short-term obligations.	Dividing liabilities by assets, or reporting working capital (a dollar amount) as the ratio.	Current assets and current liabilities in the same stem.
3	ROE vs. ROA	Return on equity = net income / shareholders' equity; return on assets = net income / total assets.	Using total assets as the base for ROE.	Net income with both total assets and equity given.
4	Future value and compounding	$FV = PV \times (1 + r)^n$; interest earns interest each period.	Using simple interest ($PV \times r \times n$) when the stem says compounded.	A deposit, a rate, a number of years, and "compounded."
5	Present value and discounting	$PV = FV / (1 + r)^n$; money received later is worth less today.	Multiplying by $(1 + r)^n$ when asked what a future amount is worth today.	"How much is it worth today?" for a future payment.
6	Net present value decision rule	$NPV = PV$ of future cash flows – initial investment; accept if $NPV > 0$, and when $NPV > 0$ the IRR exceeds the discount rate.	Accepting a project because total undiscounted cash inflows exceed its cost.	An upfront cost, yearly cash flows, and a required return.
7	Payback period and its limits	Payback = time to recover the initial cost from cash inflows; it ignores the time value of money and cash flows after payback.	Choosing the project with the shortest payback as the most valuable.	Cumulative cash flows and "how long to recover."
8	Risk, return, and diversification	Investors require higher expected return for higher risk; diversification removes firm-specific risk but not market-wide risk.	Believing diversification can eliminate all risk.	A portfolio of many stocks facing an economy-wide shock.

Course scope (public description): Introduction to Business Finance provides students with an introductory look at the discipline of finance and its context within the business environment. This course will help students gain an understanding of the systems, structure, roles, and impact of finance in business. Students will also gain an understanding of the uses of financial ratios, the application of the time value of money concepts, and capital budgeting in business. This course provides the student a business generalist overview of the field of finance. The prerequisite for this course is Introduction to Business Accounting.